popular one among practitioners. Prior to these studies, practitioners likely tested many moving average lengths to arrive at this particular one.

Faber's paper "A Quantitative Approach to Tactical Asset Allocation" attracted considerable attention to the 10-month moving average rule. His paper has received the highest number of downloads in its category on the Social Science Research Network (SSRN). It inspired other research papers and a subsequent book by Faber and Richardson (2009). A number of practitioners have adopted this popularized 10-month moving average approach.

We can easily compare the 10-month moving average to our absolute momentum strategy. Table 9.1 shows the results of applying a 10-month moving average, a 12-month moving average (used by other practitioners), and 12-month absolute momentum to the S&P 500 Index from 1974 through 2013. When not invested in stocks, all three strategies are in U.S. aggregate bonds.

Table 9.1 S&P 500 Absolute Momentum and Moving Averages, 1974–2013

	12-Month Absolute Momentum	10-Month Moving Average	12-Month Moving Average	S&P 500, No Filter
Annual return	14.38	14.16	14.29	12.34
Annual std dev	12.23	12.13	12.23	15.59
Annual Sharpe	0.69	0.68	0.68	0.42
Max drawdown	–29.58	–23.26	–23.26	–50.95

Results from the three strategies were very similar. Absolute momentum was in stocks 70% of the time. It had 31 trades over these 40 years, for an average of 0.83 trades per year. The 10-month moving average was in stocks 74% of the time and had 49 trades, or 1.2 trades per year. Absolute momentum therefore had lower transaction costs than the 10-month moving average. Table 9.1 does not reflect these costs.

Moving averages and absolute momentum both try to identify trends by reducing noise. In 1906, British scientist Sir Francis Galton (cousin of Charles Darwin) first noticed the importance of noise reduction.[6] Galton was